NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT- II)

CA(CAA)-13/ND/2023

IN THE MATTER OF SCHEME OF AMALGAMATION:

AMONGST

FORTIS EMERGENCY SERVICES LIMITED

... Applicant No.1/ Transferor Company

AND

BIRDIE & BIRDIE REALTORS PRIVATE LIMITED

... Applicant No.2/ Transferor Company

AND

FORTIS HEALTH MANAGEMENT (EAST) LIMITED

... Applicant No.3/Transferor Company

AND

FORTIS CANCER CARE LIMITED

... Non-Applicant/Transferor Company

WITH

FORTIS HOSPITALS LIMITED

... Applicant No.4/Transferee Company

AND

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order Delivered on_09.05.2023

Section: 230 and 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

CORAM:

SH. ASHOK KUMAR BHARDWAJ, HON'BLE MEMBER (J)

SH. L.N. GUPTA, HON'BLE MEMBER (T)

PRESENT

For the Applicant : Adv. Gopal Jain, Sr. Counsel

ORDER

Indubitably, the Company/Companies by whom an application is made for a merger or amalgamation should disclose to this Tribunal by affidavit, the pendency of any investigation or proceedings against/qua the company/companies. On 03.03.2023, when the captioned application came up for hearing, we granted one week's time to the Applicants for filing a proper and complete affidavit in terms of the provisions of Section 230(2) of the Companies Act, 2013. In the wake, the Applicants filed affidavits dated 08.04.2023. In para 5 of every affidavit, the deponents have stated that the Transferor/Transferee Company (Applicants) does not have any material litigation, investigation or proceedings pending against them. Para 5 of the affidavits read thus:

> *"5. That the Applicant No. 4 / Transferee Company does not have* ***any material*** *litigation, investigations or proceedings pending against itself."*

2. Apparently, in the affidavits filed by them, the Applicants have not stated categorically that no investigation or proceedings against any of the Applicants is pending at all. When it is stated in the affidavits that no material litigation, investigation or proceedings are pending against the Applicants, it is not disclosed that which are such litigation, investigation or proceedings, pending against the Applicants, which according to them are not material. Even in para 136 of the application, the Applicants have stated that there are no legal proceedings pending against the Applicants which may be detrimental or may have an adverse impact on the scheme

proposed by the Applicants. Besides, even in the application filed by them, the Applicants have not disclosed the proceedings/investigation pending against them, which according to them are not detrimental to the scheme of Amalgamation proposed by them and are not going to have an adverse impact on the same.

3. In our considered view, the Applicants have not complied with the provisions of Section 230(2) of the Companies Act, 2013, as they have neither filed any affidavit categorically stating therein that no investigation or proceedings are pending against any of the Applicants at all nor they have disclosed the particulars of such proceedings and/or investigation pending against all or any of them, which according to them is/are neither material nor detrimental to the Scheme of Amalgamation proposed by them and nor are the same going to have any adverse impact of the Scheme.

4. In view of the aforementioned, the Applicants are directed to file a categoric affidavit stating therein that "no proceedings and/or investigation of any nature whatsoever is/are pending against/qua any of Applicants at all". If any proceedings/investigations which according to the Applicants are not adversarial or detrimental to the Scheme of Amalgamation and are otherwise not material, are pending against any of the Applicants, the Applicants should mention the particulars/ present status of the same in the affidavit.

5. Let the needful be done within two weeks from the date of this

order. The captioned petition is released from being reserved for orders and is directed to be listed on 02.06.2023.

Sd/-
(L. N. GUPTA)
MEMBER (T)

Sd/-
(ASHOK KUMAR BHARDWAJ)
MEMBER (J)